

HDFC Bank — Key Customer Policies

Condensed Working Summary of Publicly Disclosed Policies

Compiled from HDFC Bank's public disclosures under 'Our Corporate Commitment / Citizens Charter'

This is an independent, paraphrased summary prepared for quick reference and study, based on HDFC Bank's publicly disclosed policy documents (Deposit Policy, Grievance Redressal Policy, Compensation Policy, Cheque Collection Policy, Customer Rights Policy, Fair Practices Code, and Customer Acceptance/Care/Severance Policy). It is not a substitute for the official policy documents on hdfcbank.com, which should be consulted for the current, authoritative and complete text — policies are revised periodically.

1. Comprehensive Deposit Policy
2. Cheque Collection Policy
3. Grievance Redressal Policy
4. Customer Compensation Policy
5. Customer Rights Policy
6. Fair Practices Code (Loans & Credit Cards)
7. Customer Acceptance, Care & Severance Policy
8. Where to Find These Policies

1. Comprehensive Deposit Policy

This policy governs the terms on which HDFC Bank accepts and operates savings, current, and term deposit accounts, in line with RBI guidelines and the Banking Codes and Standards Board of India (BCSBI) framework. It covers account opening (subject to KYC/AML norms), joint holding and nomination facilities, interest payment norms, premature/partial withdrawal of term deposits, renewal on maturity, and treatment of deceased-depositor accounts (settlement to nominee or legal heirs without insisting on succession certificates for amounts within the Bank's discretionary limits). It also sets out the Bank's right to set off dues against a depositor's balances and its approach to inoperative/dormant accounts, including the process for reactivation.

2. Cheque Collection Policy

This policy lays down the Bank's commitments on collection of local and outstation cheques/instruments, framed around the RBI's cheque-collection guidelines and the standardised Turn-Around-Time (TAT) norms.

- Local cheques are typically presented in the next available clearing cycle, with credit usually reflecting within one to two working days depending on the clearing mechanism used (CTS grid clearing).
- Outstation cheques follow a defined collection period (commonly benchmarked at 7 days for state capitals, 10 days for other major cities, and up to 14 days for other locations), beyond which interest at the savings rate becomes payable to the customer for the delay.
- Immediate credit facility (up to a specified value) may be extended for outstation instruments to eligible account holders in good standing, subject to the Bank's discretion and recovery rights if the instrument is later dishonoured.
- The policy also addresses cheque return charges, the Bank's liability for loss of instruments in transit, and dispatch of dishonoured cheques/return memos to the customer within a specified period.

3. Grievance Redressal Policy

The policy sets out the framework through which the Bank receives, tracks, escalates and resolves customer complaints — aligned with the RBI Master Circular on Customer Service, the Customer Rights Policy, the BCSBI Code, and the RBI's Internal Ombudsman Scheme.

- Multiple channels are available to lodge a grievance: branches, PhoneBanking, NetBanking/mobile app, e-mail, and the website's grievance portal.
- A standard resolution timeline of 30 days applies; if unresolved or unsatisfactory, customers can escalate internally through defined levels, and ultimately to the Bank's Internal Ombudsman, whose decision (in eligible cases) is binding on the Bank.
- If still dissatisfied after the Bank's internal process, or if the complaint isn't resolved within 30 days, customers may approach the RBI's Banking Ombudsman / the RBI Integrated Ombudsman Scheme.
- The Bank commits to good-faith handling, periodic staff training on grievance handling, and regular internal review (including reporting to the Audit Committee) to identify recurring issues and process gaps.
- The policy also covers grievances arising from services rendered through the Bank's outsourced agencies/business correspondents and from third-party products (e.g., insurance, mutual funds) distributed by the Bank.

4. Customer Compensation Policy

This policy commits the Bank to proactively compensate customers for direct financial loss arising from service deficiencies or errors attributable to the Bank — without the customer needing to file a claim — while excluding opportunity losses and cases beyond the Bank's control (force majeure). Illustrative areas covered:

- **Unauthorised/erroneous debits:** reversed on being established, with financial loss to the customer made good.
- **Delayed cheque collection:** interest at the applicable savings rate for the period of delay beyond the committed timelines.
- **ECS/NEFT/RTGS/standing-instruction failures or delays:** compensation for the resulting financial loss, where the failure is due to the Bank.
- **Loss of instruments in transit:** the Bank helps the customer obtain a duplicate and bears related reasonable charges/interest loss.
- **Credit/debit card issues:** compensation for delays in card issuance/closure, failed transactions, and unauthorised transactions reported promptly, generally per the RBI's limited-liability framework for customers.
- **Insurance & mutual-fund distribution:** the same compensation approach extends to grievances on products the Bank distributes as a corporate agent/distributor.

The policy is explicitly without prejudice to the Bank's right to contest disputed claims before a competent forum, and it does not apply where the customer's own negligence (e.g., delayed reporting of an unauthorised transaction) contributed to the loss.

5. Customer Rights Policy

Modelled on the RBI's Charter of Customer Rights, this policy commits the Bank to five broad rights for every customer:

- **Right to Fair Treatment** — non-discriminatory service regardless of gender, age, religion, caste, or physical ability.
- **Right to Transparency, Fair and Honest Dealing** — plain-language communication of terms, pricing, and risks before the customer commits to a product.
- **Right to Suitability** — products/services offered should be appropriate to the customer's understanding and needs, not mis-sold.
- **Right to Privacy** — customer data is treated confidentially and not shared for cross-selling or other purposes without consent, except where legally mandated.
- **Right to Grievance Redressal and Compensation** — access to a responsive complaint mechanism and fair compensation for the Bank's service deficiencies, as detailed in the two policies above.

6. Fair Practices Code (Loans & Credit Cards)

Applicable to lending products and credit cards, this code commits the Bank to fairness and transparency across the customer lifecycle:

- Clear, upfront disclosure of interest rates, processing fees, and other charges before a loan/card application is finalised — reflected in 'Most Important Terms & Conditions' (MITC) documents.
- Written communication of reasons where a credit application is declined.
- No unreasonable levy of penal charges disproportionate to the default, and no harassment (including in recovery/collections) — recovery agents are expected to adhere to a code of conduct covering time and manner of contact.
- Reasonable notice before any change in terms and conditions, and grievance escalation paths consistent with the Grievance Redressal Policy.

- For credit cards specifically: transparent disclosure of fees (joining/annual/renewal, foreign-currency markup, cash-advance charges), timelines for dispute resolution on failed/unauthorised transactions, and adherence to RBI's Credit Card and Debit Card Master Directions.

7. Customer Acceptance, Care & Severance Policy

This policy sits alongside the Bank's KYC/AML framework and covers the full customer relationship lifecycle:

- **Acceptance:** account/relationship onboarding is governed by RBI's KYC Master Direction — no anonymous/benami accounts, and CDD proportionate to assessed risk.
- **Care:** ongoing service standards, periodic KYC updation, and fair treatment during the relationship — cross-referencing the Comprehensive Deposit Policy, Grievance Redressal Policy, Customer Rights Policy, and Customer Compensation Policy for specific situations.
- **Severance:** the circumstances and process under which the Bank may discontinue a relationship (e.g., non-compliance with KYC requirements, suspicious activity, or at the customer's own request), with due notice and settlement of dues/balances, except where regulatory or law-enforcement directions require otherwise.

These policies are stated to be reviewed periodically by the Bank to stay aligned with evolving RBI guidelines and market practice.

8. Where to Find These Policies

HDFC Bank publishes the full, current versions of these policies on its official website, generally accessible via the path:

hdfcbank.com → **Our Corporate Commitment** → **Citizens Charter**, where individual PDFs for the Deposit Policy, Grievance Redressal Policy, Compensation Policy (including product-specific annexes for cards), Cheque Collection Policy, Customer Rights Policy, and related documents are listed separately.

For binding terms, dispute resolution, or compliance/citation purposes, always refer to the current PDF versions published there rather than this summary, since policies are amended from time to time and version numbers change accordingly.

Source: HDFC Bank public policy disclosures (Our Corporate Commitment / Citizens Charter, hdfcbank.com). This summary paraphrases publicly available policy content for quick reference; consult the Bank's site for authoritative text.